

Relative price dispersion and inflation regimes in South Africa

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1 Introduction

Inflation is known to have adverse welfare effects through its distortion of relative prices which causes the mis-allocation of resources, production inefficiencies leading to lower real economic activity. This is well supported by both theoretical and empirical studies. This paper contributes to the empirical literature, by examining the relationship between inflation and relative price dispersion (RPD) in South Africa given the little evidence available and to determine how the relationship has evolved and its implications for monetary policy.

The South African context can provide further insights into the relationship between inflation and RPD given the changes in the inflation targets from a 3- 6 per cent band in 2000 to a 4.5 per cent midpoint target since 2017 and a shift to 3 per cent inflation target in 2025 as structural changes in inflation can affect the linkages with relative price dispersion ([Caglayan and Filiztekin, 2003](#)) and that the functional form of relationship is U-shaped and dynamic ([Fielding and Mizen, 2000](#); [Choi, 2010](#)) implying a non-zero optimal inflation rate that minimizes the distortive effect on relative prices since a linear relationship would imply that the optimal inflation rate is zero. Given the above mentioned inflation target reforms, South Africa provides an opportunity to examine the dynamic effects of inflation on relative price variability and optimal inflation target with policy implications for emerging market economies that intend to transition to lower inflation targets.

The theoretical literature distinguishes between menu-cost and signal extraction models in explaining the positive relation between inflation and RPD. In menu cost models ([Sheshinski and Weiss, 1979, 1983](#); [Rotemberg, 1983](#); [Benabou, 1992](#)) firms face fixed cost of adjusting nominal prices (e.g. printing new menus) and since they follow a one-sided dynamic pricing rule $(S, s)[1]$ when setting prices, inflation reduces the optimal real price. Given price adjustment costs differ across firms (e.g. due to differences administrative costs) price adjustment occurs infrequently and at sporadic times leading to staggar price setting and consequently an increase in relative price variability with latter reflects nominal rigidities rather than a scarcity of resources. Signal extraction models emphasize the role of inflation surprises in increasing RPD. In these models, under the assumption of imperfect information, firms observe their

own prices immediately and only observe aggregate prices imperfectly, therefore unexpected inflation or inflation volatility reduces the informational content of prices as firms are unable to distinguish between idiosyncratic relative (real) shocks and aggregate (inflationary) shocks [Lucas (1973); Hercowitz (1981); Cukierman (1983); Barro (1976)] leading to cross-sectional price dispersion which results in allocative inefficiencies generating adverse real effects. While menu cost models predict a linear relationship, signal extraction models predict nonlinearities along with monetary search models (Head and Kumar, 2005) with the latter also arguing that moderate inflation can increase welfare suggesting the optimal inflation can be non-zero.

Against this backdrop, this paper closely follows Caraballo and Dabús (2013) and tests the menu cost and signal extraction models in a semi-parametric framework (Robinsons, 1988) for South Africa between 2009 and 2025. We further extend our analysis further by estimating the inflation-RPD nexus using a quantile-on-quantile regression since the semiparametric estimation provides average inflation effects on RPD, the quantile-on-quantile estimation shows how the state-dependant inflation effect specific areas of the distribution of relative price dispersion. We chose a post 2008 financial crisis period sample because inflation was broadly within the target range and monetary policy credibility had broadly improved during this period relative to the period after the adoption of the inflation target framework in 2000. Furthermore, we estimate the inflation-RPD nexus in the pre-and post-2017 samples when the South African Reserve Bank (SARB) began to target the midpoint of the 3-6 per inflation target range. Our sample includes 2025 with structurally lower inflation which averaged 3.2 per cent after the SARB communicated its preference for 3 per cent lower bound and the National Treasury officially adopting the 3 per cent in November 2025 nevertheless, we do not specifically make inference with regards to this as an extended post sample period is needed.

The empirical literature is well established but with evidence for emerging markets few. To the best of our knowledge, Ndou and Redford (2014) and Ndou and Gumata (2017) are the only papers that examined the inflation and RPD relationship for an emerging market, South Africa. Ndou and Redford (2014) focused on estimating the disaggregated CPI components and found heterogeneous effects of these on RPD over 1980-2010 before and after the adoption of the inflation target framework while Ndou and Gumata (2017) focused on RPD for services only

during 1980-2011. This paper contributes to the empirical literature by examining the headline inflation-RPD nexus in the context of structural changes in inflation induced by inflation target changes estimating both mean and tail effects.

Findings xxxxxxxxxxxx The rest of the paper is organised as follows. Section 2 presents the data and methodology. Section 3 discusses the main results, Section 4 discusses the robustness tests and Section 5 concludes the paper.

2 Relative price dispersion through Lucas's aggregate supply curve

The concept of relative price dispersion can be abstract and difficult to grasp without a theoretical framework. One of the most influential frameworks for understanding relative price dispersion is the [Lucas \(1973\)](#) aggregate supply curve, which provides insights into how relative price dispersion can explain the output-inflation relationship, otherwise known as the 'natural rate theory'. This theory essentially means (in part) that nominal "rigidities" partially dominate short-run supplier behaviour resulting from a lack of information about the some prices relevant to decision making. For our purposes we ignore other aspects of the theoretical framework and emphasis this aspect of the model to provide an understanding relative price dispersion.

[Lucas \(1973\)](#) proposes a decomposition of the supply curve, all in logs, into a natural or secular component and a cyclical component as follows:

$$y_t(z) = y_{n,t} + y_{ct}(z), \quad (1)$$

where $y_t(z)$ is the aggregate supply at time t in market z , $y_{n,t}$ is the natural or secular level of supply at time t , and y_{ct} is the cyclical component of supply at time t . Competitive markets and a cleared labour market are assumed, meaning that the slope of the supply curve can only reflect the degree of information frictions and the speed of price adjustment related to labour and product markets. Furthermore, the demand for goods in each period is assumed to be unevenly distributed, leading to relative price and general price level movements leading. It is this imperfect information of the suppliers about the general price level that leads to relative

price dispersion and the output-inflation relationship.

In addition, the natural or secular level of supply is assumed to follow a linear trend as follows:

$$y_{n,t} = \alpha + \beta t, \quad (2)$$

where α is a constant and β captures the trend growth rate of the natural level of supply.

The cyclical component varies with the perceived relative price (the difference between the actual price level and the expected price level) and its lags as follows:

$$y_{ct}(z) = \gamma[P_t(z) - E(P_t|I_t(z))] + \lambda y_{c,t-1}(z), \quad (3)$$

where γ captures the sensitivity of supply to the perceived relative price, $P_t(z)$ is the actual price level in market z at time t , $E(P_t|I_t(z))$ is the expected price level based on information available at time t in market z , and λ captures the persistence of the cyclical component and $|\lambda| < 1$. $E(P_t|I_t(z))$ is current expected price level conditioned on information that is available at time t , at market z . The available information set ($I_t(z)$) comprises of past demand driven shifts of the secular component ($y_{n,t}$), and the past deviations of the cyclical component ($y_{c,t-1}, y_{c,t-2}, \dots$) from its natural level.

The current general price level (P_t), which determines ‘prior’ expectations common across all suppliers in all markets, is assumed to be $P_t \sim N(\bar{P}_t, \sigma^2)$, where $\bar{P}_t$ is the mean price level at time t and σ^2 is the variance of the price level at time t . Furthermore, [Lucas \(1973\)](#) defines z_t as the percentage deviation of the actual market price from the general price level as $z \stackrel{\text{iid}}{\sim} N(0, \tau^2)$, where τ^2 is the variance of z . Therefore, the actual price level in market z at time t can be expressed as:

$$P_t(z) = P_t + z, \quad (4)$$

where $P_t(z)$ is the actual price in market z at time t (that is the markets are indexed to z), P_t is the current general price level at time t , and z is the percentage deviation of the actual market price from the general price level. However, P_t is unobserved by traders, and therefore

$I_t(z)$ is used to estimate the expected price level ($E(P_t|I_t(z))$). The expected price level based on information available at time t in market z can be derived using Bayes' rule as follows:

$$E(P_t|I_t(z)) = E(P_t|P_t(z), \bar{P}_t) = (1 - \theta)P_t(z) + \theta\bar{P}_t, \quad (5)$$

where $\theta = \frac{\tau^2}{(\sigma^2 + \tau^2)}$ is the weight placed on the mean price level ($\bar{P}_t$) in forming expectations. Combining Equation 1, Equation 4, and Equation 5 by substitution yields the following:

$$y_t(z) = y_{nt} + \theta\gamma[P_t(z) - \bar{P}_t] + \lambda y_{c,t-1} \quad (6)$$

where the current supply in market z at time t is a function of the natural level of supply, the perceived relative price (the difference between the actual price level in market z and the mean price level), and the lagged cyclical component. Finally, aggregating across all markets (or integrating over all markets) yields the following aggregate supply curve:

$$y_t = y_{nt} + \theta\gamma(P_t - \bar{P}_t) + \lambda[y_{t-1} - y_{n,t-1}] \quad (7)$$

From Equation 7, we can clearly demonstrate how the relative price dispersion (θ), which is a fraction of the total individual price dispersion ($\sigma^2 + \tau^2$), affects the aggregate supply curve, and therefore the output-inflation relationship. That is, $\theta \uparrow$ in τ^2 and $\downarrow$ in σ^2 . Meaning that when $\theta \uparrow$, the aggregate supply curve becomes flatter, and the output-inflation relationship becomes stronger. And when $\theta \downarrow$, the slope is restricted by γ . Therefore, the relative price variance (θ), in this context, is a key determinant of the slope of the aggregate supply curve and the strength of the output-inflation relationship.

3 Data and methodology

Our analysis uses monthly inflation data on 45 goods categories from January 2009 to November 2025 obtained from Statistics South Africa (Stats SA).¹ Figure A1 below shows the long term inflation rate in South Africa, and Figure A2 in the appendix shows the various price categories

¹The data is available at: <http://www.statssa.gov.za/> The data is seasonally adjusted.

used in the analysis. Table A1 provides the descriptive statistics of the inflation rates for the various price categories used in the analysis.

The relative price dispersion (RPD) is calculated in line with Lach and Tsiddon (1992) as the weighted standard deviation of individual price inflation rates from the aggregate inflation rate. The RPD is essentially the variability of relative prices of a given product. We first calculate the monthly inflation rate as follows:

$$\pi_{i,t} = \ln \left(\frac{P_{i,t}}{P_{i,t-1}} \right) * 100, \quad (8)$$

where $\pi_{i,t}$ is the inflation rate of good i at time t , $P_{i,t}$ is the price of good i at time t , and $P_{i,t-1}$ is the price of good i at time $t - 1$. Then, the RPD is calculated as:

$$RPD_t = \sqrt{\sum_{i=1}^n \omega_i (\pi_{i,t} - \pi_t)^2}, \quad (9)$$

where ω_j is the expenditure share of the j^{th} good, π_t is the headline or aggregate inflation rate at time t , and $\sum_{i=1}^n \omega_i = 1$. The expenditure weights (ω_i) used are derived from the Consumer Price Index (CPI) basket provided by Stats SA. Figure 1 shows the RPD calculated using the above formula. We use the 2025 CPI Stats SA weights. The weights are shown in Figure A3 in the appendix.

To examine the relationship between inflation and RPD, we estimate the following econometric model:

$$RPD_t = \beta_0 + \beta_1 |\pi_t| + \sum_{h=1}^3 \omega_h RPD_{t-h} + \mu_t, \quad (10)$$

where RPD_t is the relative price variance at time t , $|\pi_t|$ is the absolute value of aggregate inflation rate at time t , RPD_{t-h} are lagged values of RPD to account for its dynamic nature, and μ_t is the error term. The coefficient β_1 captures the effect of inflation on RPD. We include three lags of RPD based on Akaike Information Criterion (AIC) (and other tests) and to capture potential persistence in RPD. For robustness, we repeat this estimation using core inflation (excluding food and non-alcoholic beverages, and fuel and electricity) instead of

headline inflation to account for the potential volatility in these components.

The literature on RPD emphasises that the relationship between inflation and RPD maybe time-varying due to structural changes in the economy, monetary policy regimes, and other factors. To capture potential time variation in the relationship, we also estimate a rolling regression model with a 24-month and 60-month windows as follows:

$$RPD_t = \alpha_t + \beta_{1,t}|\pi_t| + \sum_{h=1}^3 \omega_{h,t} RPD_{t-h} + \mu_t, \quad (11)$$

where the coefficients α_t , $\beta_{1,t}$, and $\omega_{h,t}$ vary over time. This approach allows us to observe the stability of the coefficients over time, which is an indicator of non-linearity in the relationship between RPD and inflation.

Next, we utilise a semi-parametric or partially linear approach to estimate the optimal level of inflation given the RPD. This approach allows us to model the relationship between inflation and RPD without imposing a strict functional form. Following the literature, we first specify a quadratic (U-shaped) relationship between inflation and RPD as follows:

$$RPD_t = \alpha + \pi_t + \beta_2 \pi_t^2 + \sum_{h=1}^3 \phi_h RPD_{t-h} + \epsilon_t, \quad (12)$$

where β_2 captures the curvature of the relationship between inflation and RPD. The optimal inflation rate that minimizes RPD can be derived by taking the first derivative of the equation with respect to π_t and setting it to zero, yielding:

$$\pi_t^* = -\frac{1}{2\beta_2}. \quad (13)$$

To estimate this optimal inflation we implement a semi parametric approach as follows:

$$RPD_t = f(\pi_t) + \sum_{h=1}^3 \phi_h RPD_{t-h} + \epsilon_t, \quad (14)$$

where $f(\pi_t)$ is a non-linear smooth differentiable function of inflation and the RPD. Therefore, the optimal inflation rate can be obtained by finding the minimum of the estimated $f(\pi_t)$ function. $f(\pi_t)$ is estimated in two stages. First we estimate λ_h as follows:

$$RPD_t = \sum_{h=1}^3 \lambda_h \overline{RPD}_{t-h} + \eta_t, \quad (15)$$

where $\overline{RPD}_{t-h}$ are the residuals from a non-parametric regression of each lag of RPD_t on π_t . In the second stage, we estimate $f(\pi_t)$ non-parametrically as follows:

$$\hat{\eta}_t = f(\pi_t) + v_t, \quad (16)$$

where $\hat{\eta}_t$ are the residuals from Equation 15, and $f(\pi_t)$ is estimated using a kernel regression method. The bandwidth (h) for the kernel estimator is selected using cross-validation to minimize the mean squared error. As a treatment for extreme values of inflation, we further implement the unbounded Gaussian kernel and the outlier-robust Epanechnikov kernel. In essence, the semi-parametric approach captures the sensitivity of RPD to marginal increases in inflation. In that case, the optimal inflation rate can be obtained by finding the point where the first derivative ($f'(\pi_t)$) is equal to zero. Therefore, if $f'(\pi_t) > 0$ ($f'(\pi_t) < 0$), then an increase in inflation (decrease) leads to an increase (decrease) in the RPD. For robustness we estimate the $g(UIN_t)$ with multiple bandwidth (h).

To further disentangle the effects of RPD on inflation, we decompose headline inflation into its expected and unexpected components. As discussed in the literature section, for example, theory suggests that inflation uncertainty has a more pronounced effect on RPD due to information frictions faced by firms when adjusting prices (Lucas, 1973; Hercowitz, 1981; Cukierman, 1983).

We therefore estimate the following model:

$$RPD_t = \alpha + \beta_0 EIN_t + \beta_1 UIN_t + g(UIN_t) + \sum_{k=1}^3 \lambda_k RPD_{t-k} + \epsilon_t, \quad (17)$$

where EIN_t is the expected inflation rate, UIN_t is the unexpected inflation rate, and $g(UIN_t)$ is a non-linear function of unexpected inflation (UIN_t). We obtain the expected using a **simple moving average of headline inflation, and unexpected inflation as the standard deviation of inflation**. The estimation of $g(UIN_t)$ follows the same two-stage

semi-parametric approach outlined in Equation 15 and Equation 16. The number of lags is the same as in Equation 10.

Lastly, and some-what novel to the RPD literature, we employ a quantile on quantile regression approach (Koenker, 2017). Quantile on quantile regressions are robust to outliers and allows us to estimate the regime aspects of the relationship between RPD and inflation. For brevity, we explain the quantile on quantile estimation procedure in the Appendix.

4 Main Results

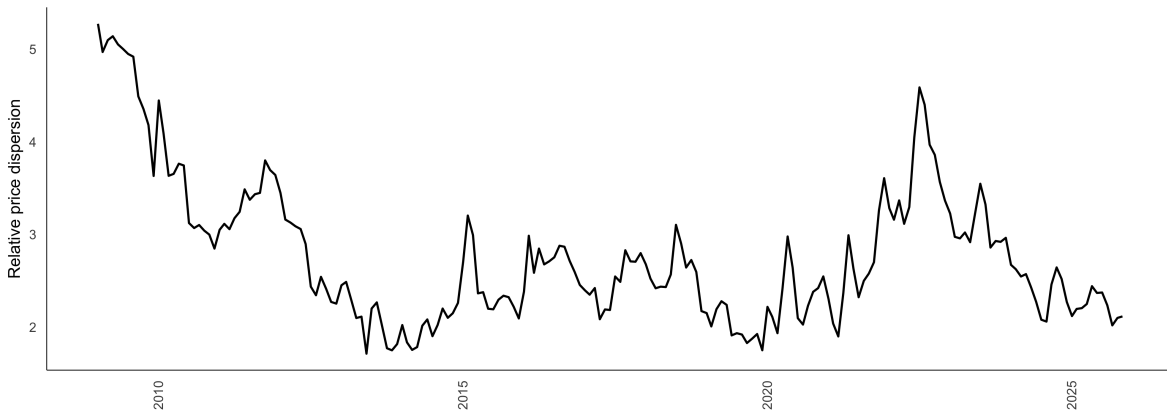


Figure 1: RPD over-time

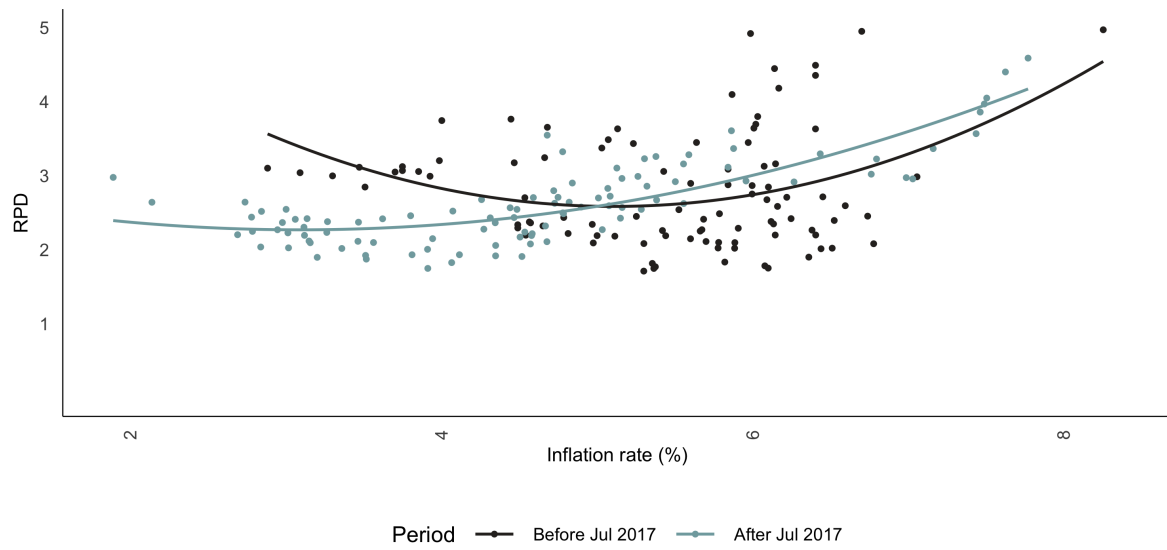


Figure 2: RPD vs headline Inflation

Table 1: Baseline regressions

	Full Sample	Pre 2017	Post 2017	Full Sample: Squared Inflation	Pre 2017: Squared Inflation	Post 2017: Squared Inflation
π_t	0.01*	0.009	0.032***	-0.046	-0.104	-0.033
π_t^2				0.006*	0.011*	0.007*
RPD_{t-3}	0.244***	0.173*	0.248**	0.234***	0.154	0.209**
RPD_{t-2}	-0.382***	-0.14	-0.645***	-0.363***	-0.111	-0.609***
RPD_{t-1}	1.039***	0.896***	1.116***	1.017***	0.864***	1.063***
D_{2022m8}	0.026		0.024	-0.001		-0.012
D_{2020m2}	-0.116		-0.213**	-0.106		-0.205**
D_{2017m7}	0.156*			0.161*		
D_{2014m7}	-0.098	-0.087		-0.105	-0.096	
$D_{2011m12}$	0.042	0.027		0.047	0.037	
C	0.044	0.012	0.117***	0.184**	0.326*	0.304**

Note: *** = p value < 0.01, ** = 0.01 < p value < 0.05, * = 0.05 < p value < 0.1.

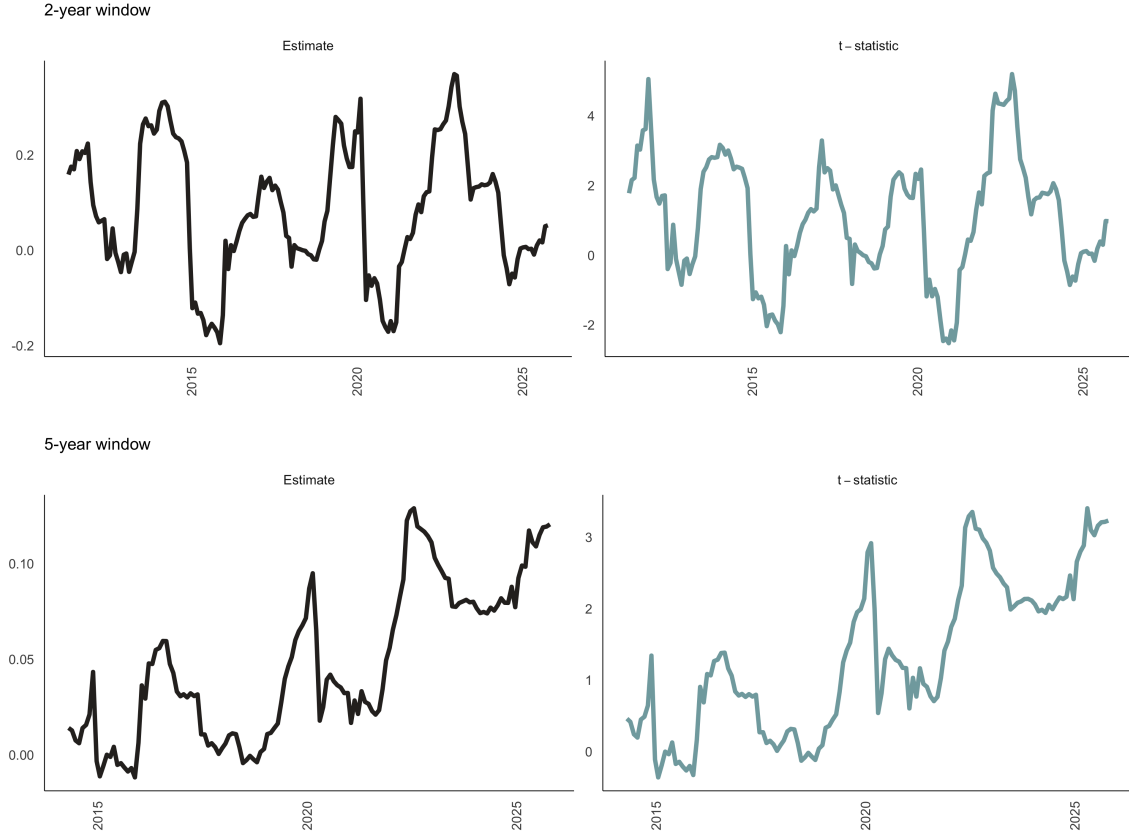


Figure 3: Rolling regressions. Note: t-statistics of greater (or less) than 1.96 (or -1.96) is significant at a 5% level of significance.

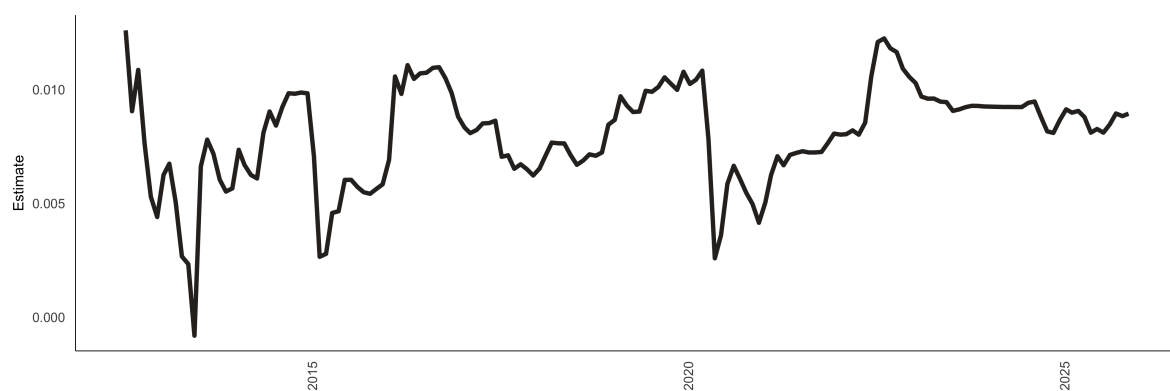


Figure 4: Recursive regressions. Note: Recursive regression estimates of the coefficient on absolute headline inflation with a fixed start date of 2012-07.

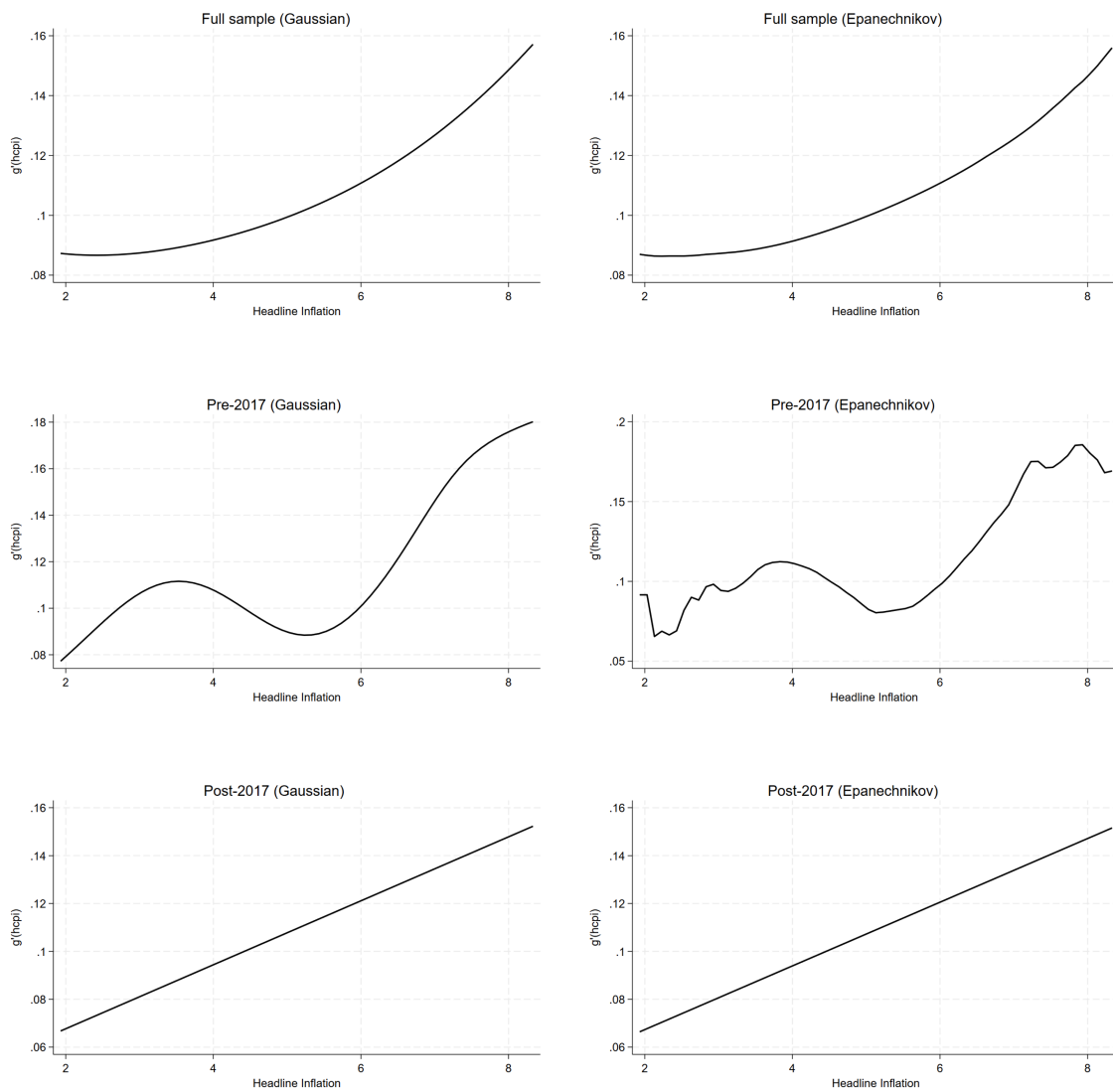


Figure 5: Semi-parametric regressions

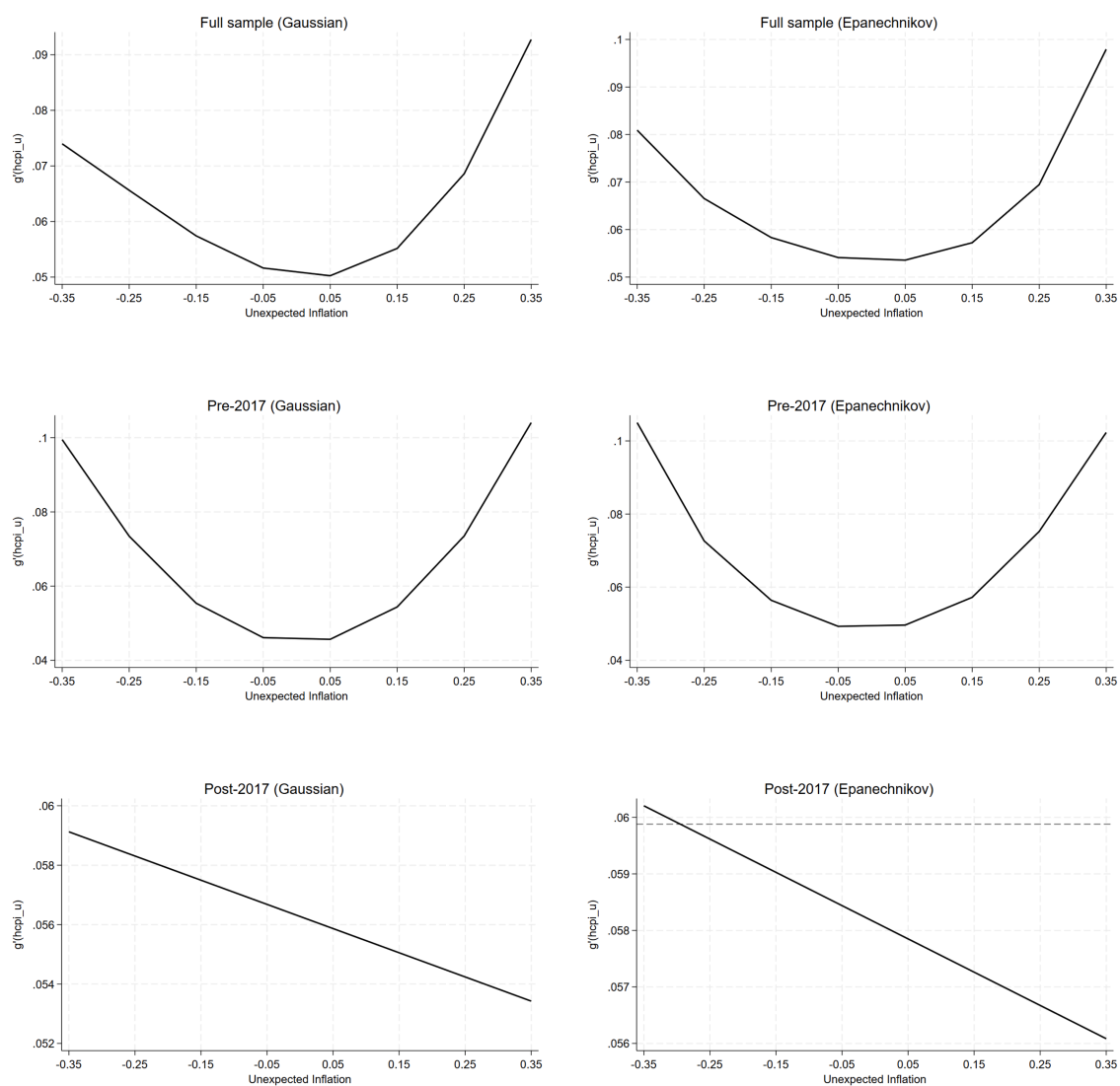


Figure 6: Semi-parametric regressions for unexpected inflation. Note: `hcpy_u` is the unexpected component of headline inflation.

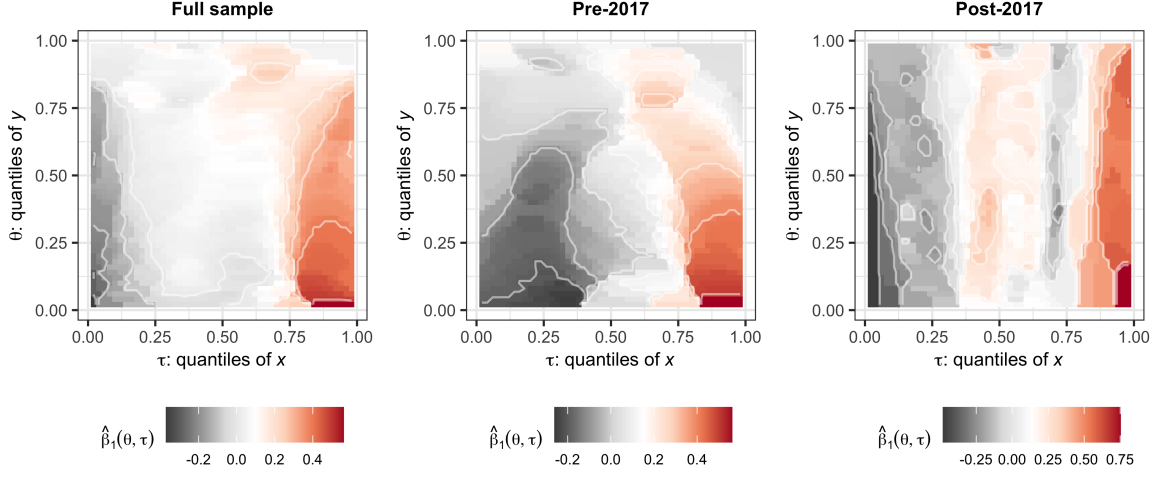


Figure 7: Quantile on quantile regressions for headline inflation. Note: In the quantile on quantile regression plots, the x-axis represents the quantiles of headline inflation, while the y-axis represents the quantiles of RPD. The color gradient indicates the strength and direction of the relationship between headline inflation and RPD across different quantiles. Warmer colors (e.g., red) indicate a stronger positive relationship, while cooler colors (e.g., blue) indicate a stronger negative relationship. The white areas represent quantiles where the relationship is not statistically significant.

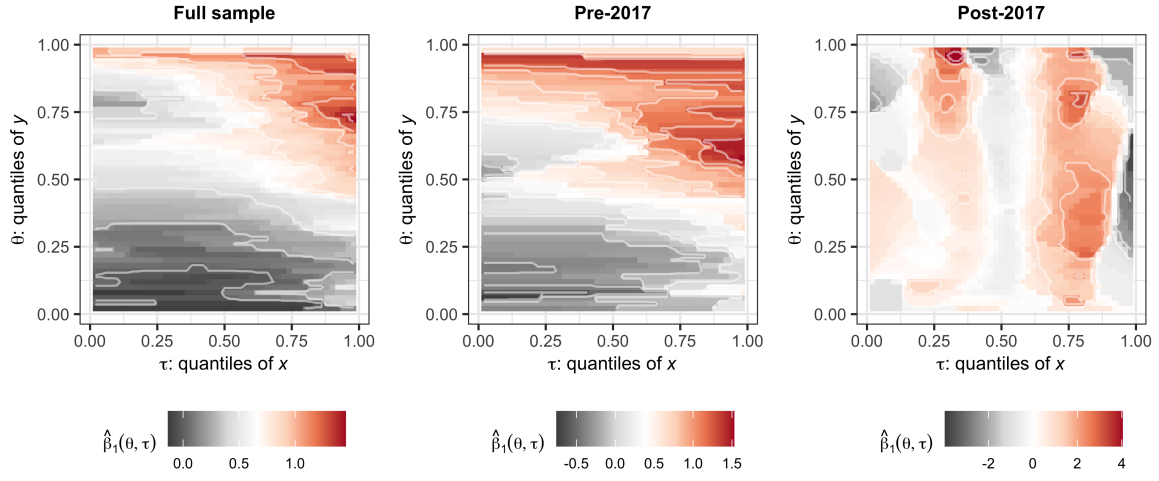


Figure 8: Quantile on quantile regressions for the unexpected component of inflation. Note: The x-axis represents the quantiles of the unexpected component of headline inflation, while the y-axis represents the quantiles of RPD.

5 Robustness

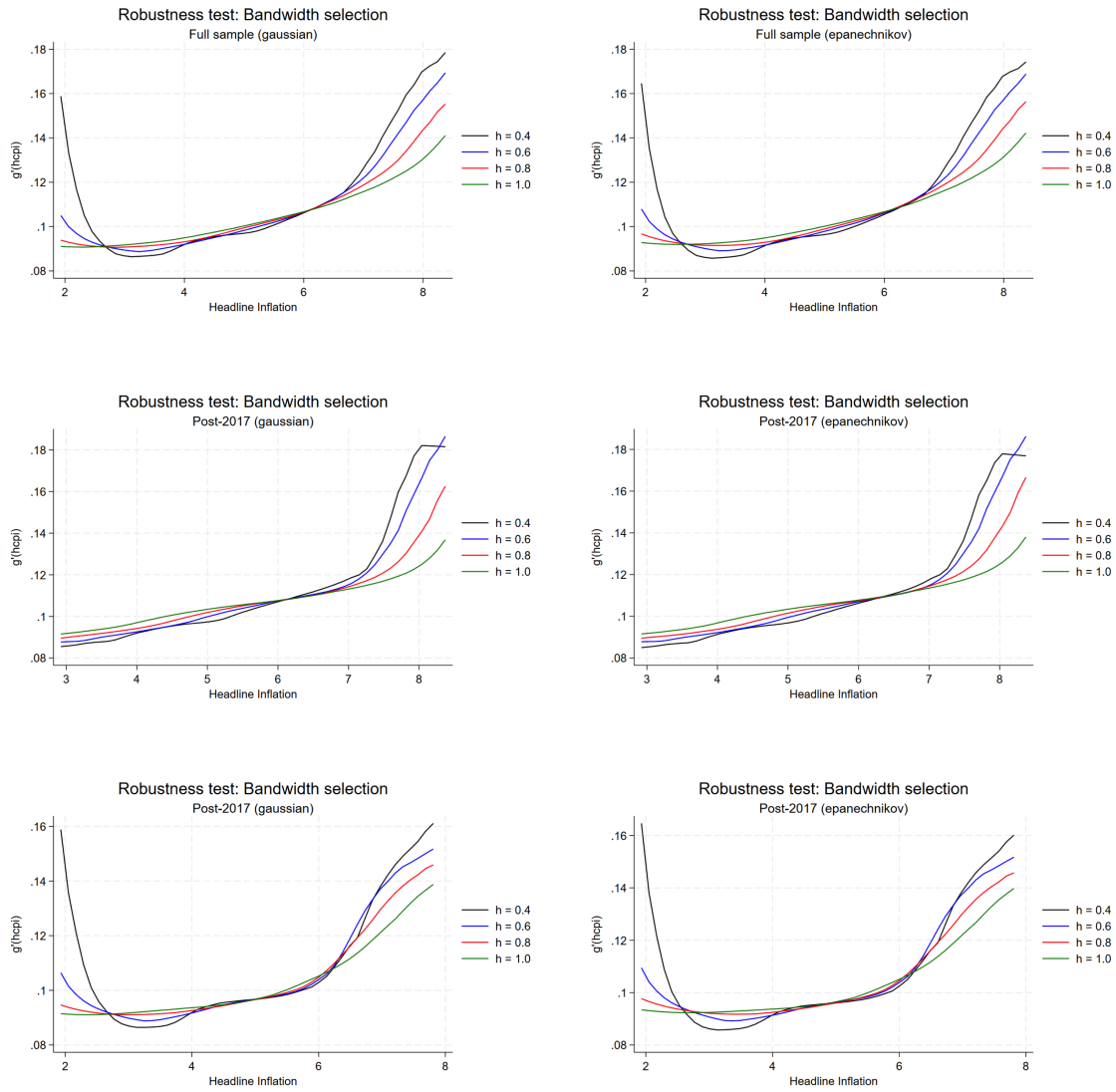


Figure 9: Semi-parametric regressions with alternative bandwidth selection. Note: hcpi is the headline inflation rate.

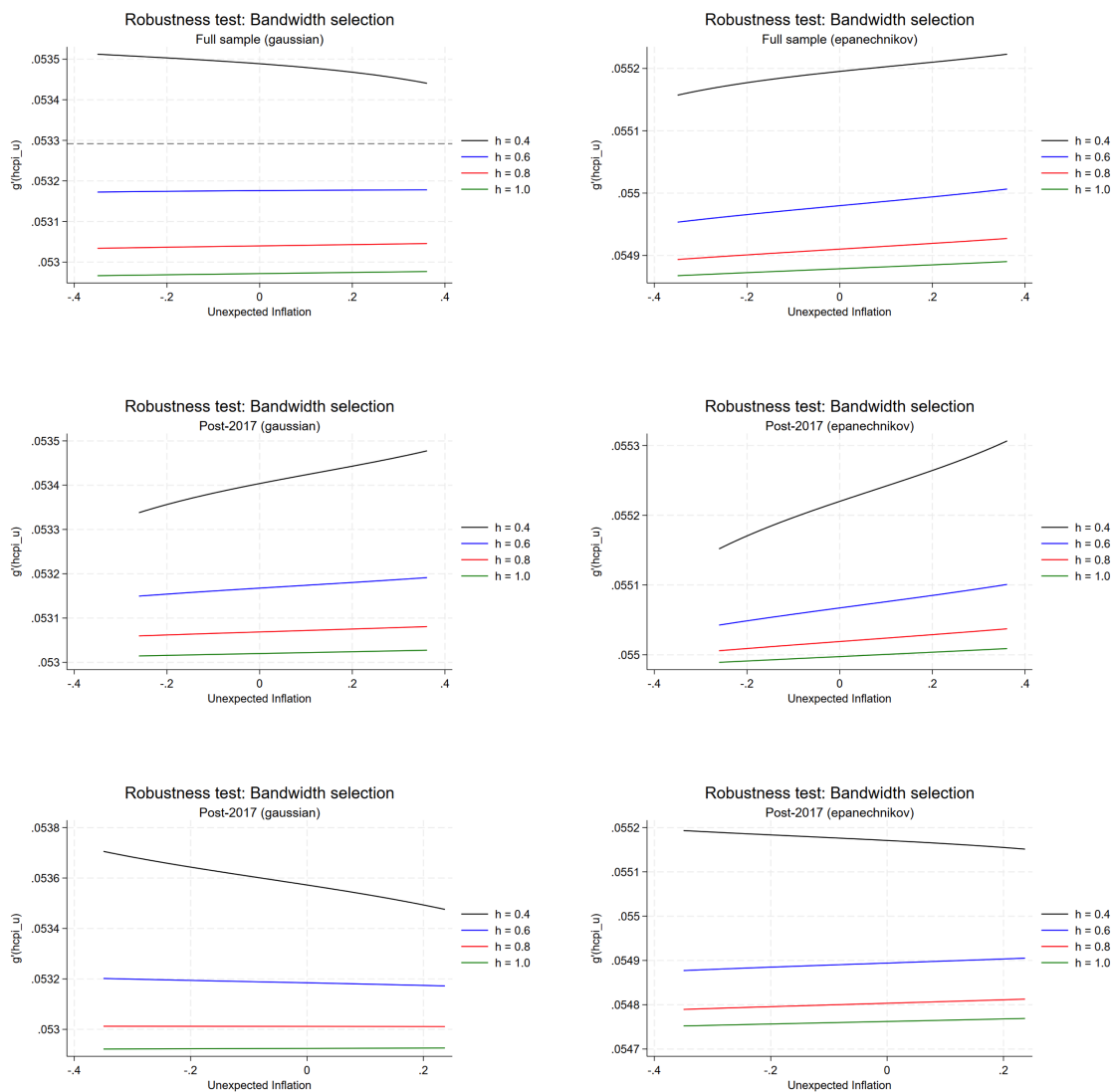


Figure 10: Semi-parametric regressions for unexpected inflation with alternative bandwidth selection. Note: $h\pi_u$ is the unexpected component of headline inflation.

6 Conclusion

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A Appendix: Data and descriptive statistics

A.1 Data

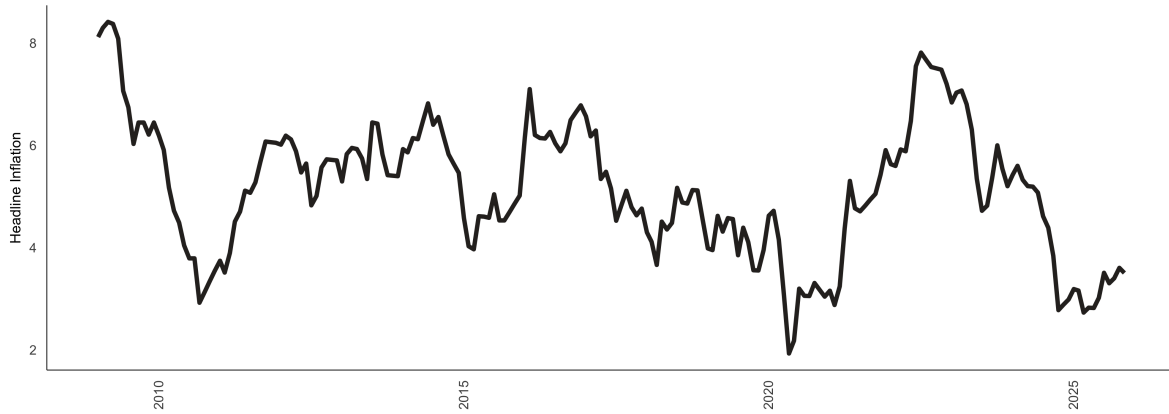


Figure A1: Headline inflation (%).

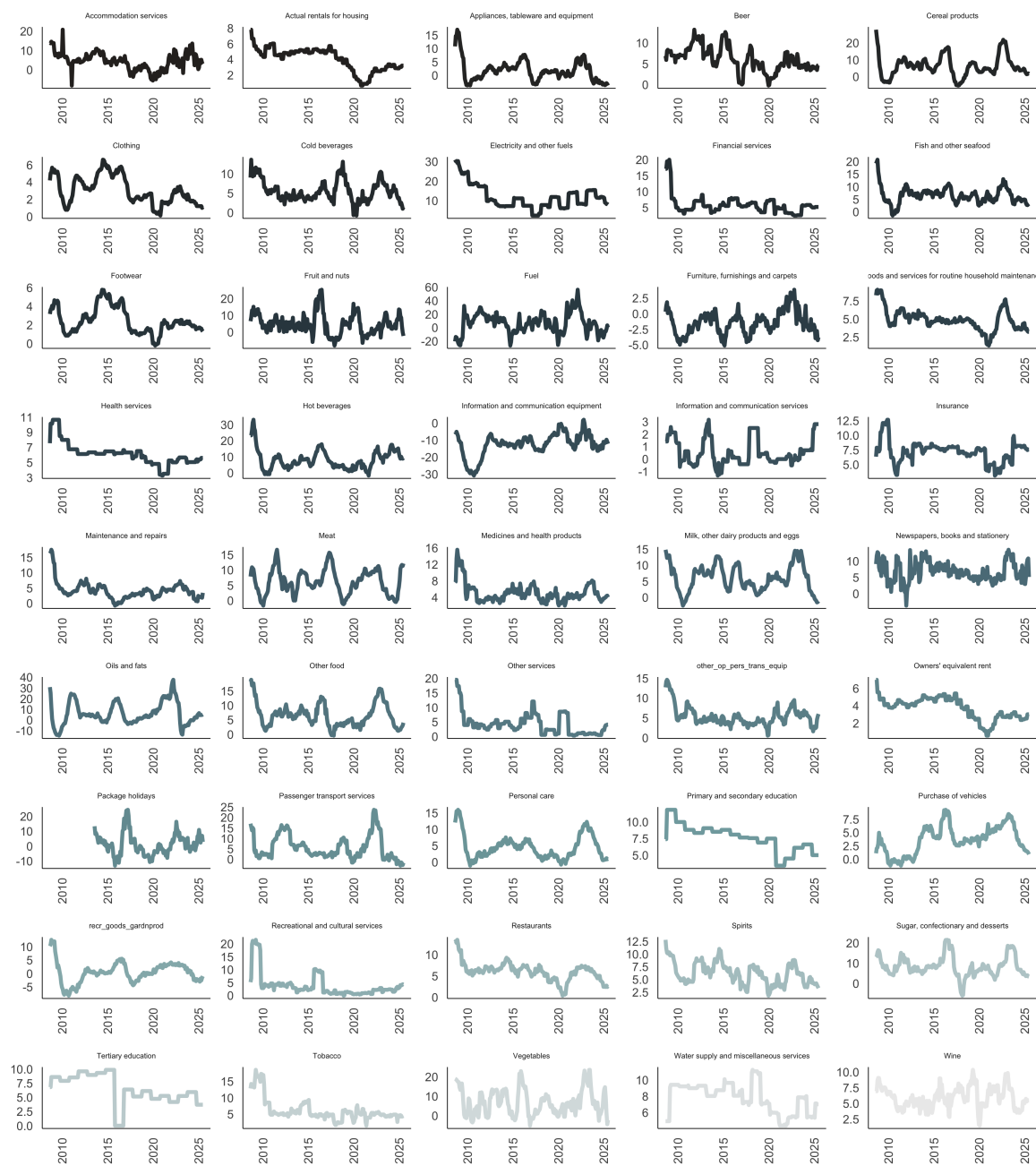


Figure A2: Inflation categories (%)

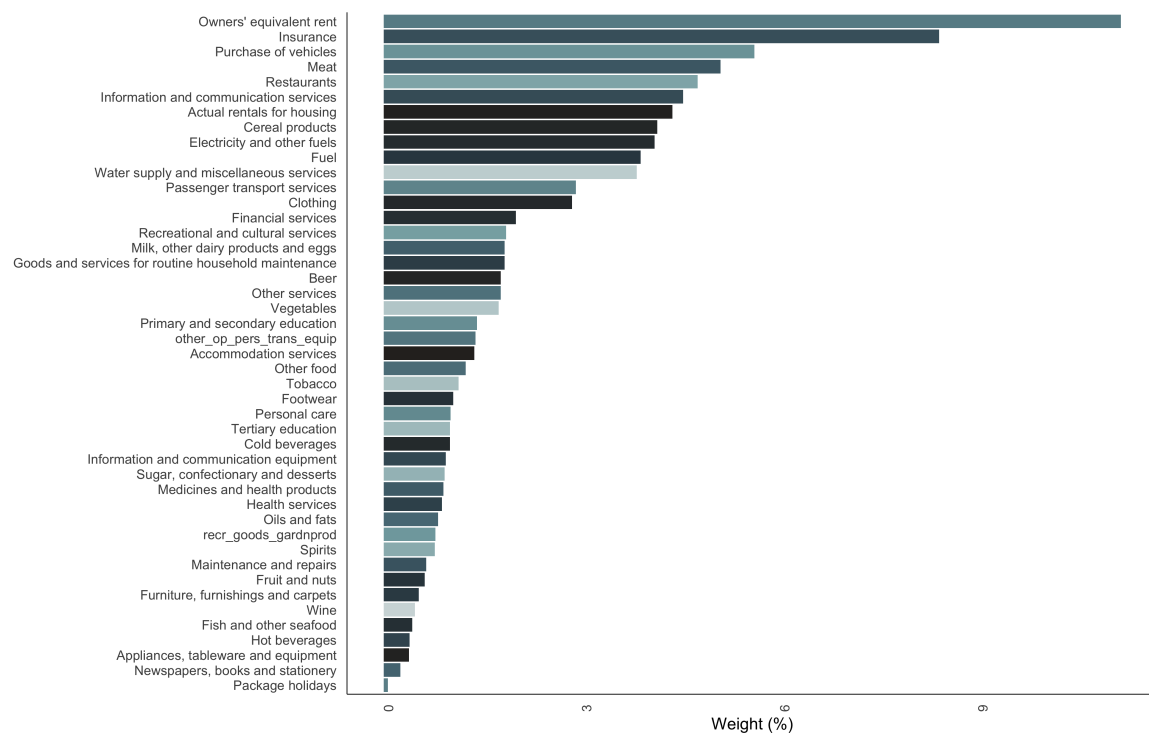


Figure A3: CPI Weights. Note: Due to a lack of data, some categories (no spirits; transport services of goods; household textiles; glassware, tableware, and house utensils; and Tools and equipment for house and garden) have been excluded.

A.2 Descriptive statistics

Table A1: Descriptive statistics

Goods category	Mean	Median	SD	Min	Max	Observations
Accommodation services	4.47	4.55	4.43	-8.16	20.79	203
Actual rentals for housing	4.03	4.56	1.48	0.67	7.80	203
Appliances, tableware and equipment	1.81	1.50	3.93	-3.75	16.97	203
Beer	6.07	5.72	2.85	-0.25	13.19	203
Cereal products	6.19	5.17	6.17	-5.18	27.78	203
Clothing	3.06	2.68	1.63	0.11	6.60	203
Cold beverages	5.51	5.02	2.69	-0.76	13.59	203
Electricity and other fuels	11.78	10.66	6.19	2.28	30.99	203
Financial services	5.82	5.43	2.96	2.51	20.00	203
Fish and other seafood	6.54	6.43	3.22	-1.47	20.74	203
Footwear	2.45	2.16	1.40	-0.22	5.77	203
Fruit and nuts	4.75	4.25	6.16	-8.18	25.36	203
Fuel	6.51	7.33	15.01	-26.78	56.28	203
Furniture, furnishings and carpets	-1.42	-1.43	1.85	-5.11	3.83	203
Goods and services for routine household maintenance	4.88	4.76	1.44	1.32	9.03	203
Health services	6.12	6.11	1.48	3.26	10.65	203
Hot beverages	8.16	6.90	5.98	-1.70	33.08	203
Information and communication equipment	-12.55	-11.75	6.61	-30.92	1.93	203
Information and communication services	0.56	0.20	1.05	-1.32	3.15	203
Insurance	7.19	7.51	1.81	3.14	12.68	203
Maintenance and repairs	4.09	3.85	2.84	-0.80	17.53	203
Meat	6.20	6.03	4.16	-1.67	16.67	203
Medicines and health products	5.05	4.46	2.31	1.97	15.53	203
Milk, other dairy products and eggs	6.07	6.12	4.16	-2.60	14.83	203
Newspapers, books and stationery	6.81	6.56	3.03	-3.72	13.50	203
Oils and fats	6.17	4.21	10.55	-14.55	37.67	203
Other food	6.56	6.11	4.00	-0.45	18.83	203
Other services	4.28	3.40	3.83	0.31	19.47	203
Owners' equivalent rent	3.69	3.92	1.25	0.56	6.98	203
Package holidays	1.14	0.36	7.23	-13.17	24.37	203
Passenger transport services	5.67	3.15	5.75	-3.09	23.67	203
Personal care	4.51	3.86	3.68	-1.07	15.93	203
Primary and secondary education	7.60	7.64	1.98	3.42	11.80	203
Purchase of vehicles	3.66	3.80	2.60	-1.23	9.28	203
Recreational and cultural services	3.77	2.24	4.64	-0.11	21.58	203
Restaurants	6.03	6.18	2.16	0.38	13.50	203
Spirits	6.15	6.04	2.14	1.81	12.79	203
Sugar, confectionary and desserts	8.51	7.80	5.06	-6.03	21.61	203
Tertiary education	6.48	6.11	2.52	0.00	9.85	203
Tobacco	6.04	4.93	3.44	1.40	18.58	203
Vegetables	6.89	5.72	6.65	-5.14	23.59	203
Water supply and miscellaneous services	7.77	8.02	1.79	4.38	11.23	203
Wine	5.97	5.93	1.68	1.47	10.35	203
coreinfl	4.57	4.54	1.13	2.50	8.46	203
hinfl	5.13	5.17	1.32	1.93	8.41	203
other_op_pers_trans equip	5.37	4.94	2.44	0.52	14.60	203
recr_goods_gardnprod	0.42	0.39	3.83	-8.23	12.51	203

A.3 Stationarity tests

Table A2: Stationarity tests results

Measure	ADF test (p-value)	PP test (p-value)	KPSS test (p-value)	Stationarity
Headline Inflation	0.14	0.20	0.04	Stationary
RPD	0.08	0.31	0.01	Stationary

A.4 Lag length selection

Table A3: RPD lag length selection

Tests	Optimal Lags
AIC(n)	3
HQ(n)	3
SC(n)	1
FPE(n)	3

B Appendix: Explanation of the quantile on quantile regression

To further capture the dynamic dependencies in the data, we perform a quantile on quantile regressions. Quantile regressions address the limitations of OLS which only estimates the mean dependency between one or more independent variables and the dependant variable. Distribution moments, such as the mean, can be strongly affected by heavy tails (or tail behaviour), non-linearity and extreme values in general (see [Koenker, 2017](#)). In response to these limitations, the quantile regression was first introduced by [Koenker and Bassett Jr \(1978\)](#). [Koenker \(2017\)](#) notes that quantile regressions are inherently local and are immune to small deviations in distributions.

However, [Gupta et al. \(2018\)](#) note that standard quantile regressions are limited in their ability to capture dependency in its entirety. That is, although quantile regressions capture the relationship between two variable (for example) at various points of the conditional distribution, it restricts the possibility that the nature of the independent variable can also influence how the independent variable is calculated. The quantile-on-quantile regression (QQR), therefore, offers a more complete picture of the complex dependency structure, and was utilised numerous times in the literature (see [Mishra et al., 2019](#); [Chang et al., 2020](#); [Sim, 2016](#)).

Given this brief explanation on QQR, we estimate the relationship between the θ -quantile of RPD (a_{2t}) and the τ -quantile of headline inflation (Γ_t) as follows:

$$a_{2t} = \beta^\theta \Gamma_t + \epsilon_t^\theta, \quad (18)$$

Taking the linear version of $\beta^\theta(\cdot)$ with a first order Taylor expansion of $\beta^\theta(\cdot)$ around Γ^τ gives:

$$\beta^\theta(\Gamma_t) \approx \beta^\theta(\Gamma^\tau) + \beta^{\theta'}(\Gamma^\tau)(\Gamma_t - \Gamma^\tau) \quad (19)$$

In this instance both $\beta^\theta(\Gamma^\tau)$ and $\beta^{\theta'}(\Gamma^\tau)$ are indexed to θ and τ . This means that Equation 19 can be summarised as follows:

$$\beta^\theta(\Gamma_t) \approx \beta_0(\theta, \tau) + \beta_1(\theta, \tau)(\Gamma_t - \Gamma), \quad (20)$$

and collecting terms gives and substituting into Equation 18 results in :

$$a_{2t} = \beta_0(\theta, \tau) + \beta_1(\theta, \tau)(\Gamma^\tau)(\Gamma_t - \Gamma) + \epsilon_t^\theta \quad (21)$$

where $\beta^\theta(\Gamma^\tau)$ and $\beta^{\theta'}(\Gamma^\tau)$ are substituted with $\beta_0(\theta, \tau)$ and $\beta_1(\theta, \tau)(\Gamma^\tau)$ respectively.

Therefore, Equation 21 captures the relationship between the θ -quantile of the RPD and the τ -quantile of inflation, that is, the overall dependence structure of the respective distributions.

To this end, to get the estimates of $\hat{\beta}_0(\theta, \tau)$ and $\hat{\beta}_1(\theta, \tau)$ we solve for:

$$\min_{b_0, b_1} \sum_{i=1}^n \rho_\theta [a_{2t} - b_0 - b_1(\widehat{\Gamma}_t - \hat{\Gamma})] K \left(\frac{F_n(\widehat{\Gamma}_t) - \tau}{h} \right) \quad (22)$$

where ρ_θ is a tilted absolute value function which produces θ -quantile values of a_{2t} . A Gaussian kernel $K(\cdot)$ is used to weight observations in the neighbourhood of $\widehat{\Gamma}^\tau$ using h as a bandwidth. These weights are inversely related to $\widehat{\Gamma}_t - \hat{\Gamma}$. Lastly, the choice of h remains uncertain in kernel regression where if a small h is chosen the bias of the estimates is smaller but the variance of these estimates increases, and conversely. To overcome this uncertainty we use the cross validation method to calculate the appropriate level of h .